

May 3, 2026 08:04 PM GMT

Shenzhen Inovance Technology | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

- Updated Components
- EPS
- Bull Base Bear Scenarios

Risk Reward for Shenzhen Inovance Technology (300124.SZ) has been updated.

Reason for change

We adjust our forecasts following 4Q25 and 1Q26 earnings, and introduce our 2028 forecasts.

Our revenue forecasts are revised up 4%/5% for 2026/27, respectively, to reflect stronger growth in the automation business and emerging business (incl. intelligent robot and digital energy), on the back of the automation upcycle and ongoing market share gain.

Our EPS estimates are revised down 3% for 2026, mainly reflecting lower profitability from the NEV business and FX loss, but are up 3% for 2027 on continuous cost pass-through and a better revenue mix.

We use SOTP for our Inovance valuation: 1) apply a 35x P/E (unchanged) to 2026e EPS for automation business; 2) NEV powertrain is based on its market cap and Inovance's 83% stake; 3) emerging business – we apply 60x P/E to 2026e EPS, in-line with the 60x we gave for Estun's core industrial robot business; and 4) we apply 5x P/S (unchanged) for the humanoids business when global humanoid sales reach 1mn units. Our PT stays unchanged at Rmb95.0.

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Shenzhen Inovance Technology (300124.SZ, 300124 CS)

China Industrials | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb95.00
Shr price, close (Apr 30, 2026)	Rmb68.60
52-Week Range	Rmb91.00-60.13

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	1.88	2.25	2.85	3.57
Prior EPS (Rmb)**	2.00	2.32	2.76	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – Shenzhen Inovance Technology (300124.SZ)

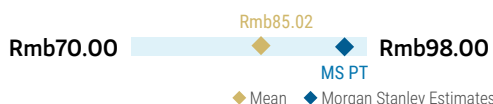
Leading Chinese industrial automation player benefitting from localization

PRICE TARGET Rmb95.00

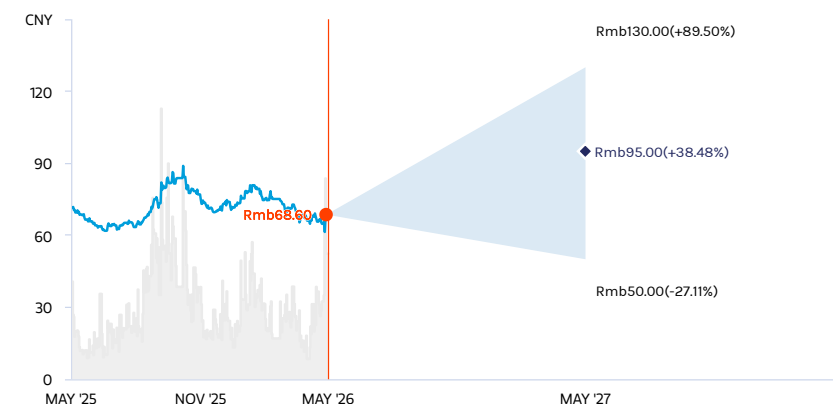
Our price target is derived by: 1) applying a 35x P/E (unchanged) to 2026e EPS for the automation business; 2) NEV powertrain is based on its market cap and Inovance's 83% stake; 3) emerging business - we apply 60x P/E to 2026e EPS, in line with 60x we apply to Estun's core industrial robot business; and 4) we apply 5x P/S (unchanged) for the humanoid business when global humanoid sales reach 1mn units.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



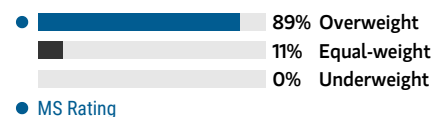
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We see strong potential for Inovance's general automation products to gain market share in the medium to high-end OEM and project markets, in the long term, on the back of its competitive product quality, diversified product spectrum, good service and prompt delivery.
- EV drive is the second growth driver in the medium term. We see a ~25% revenue CAGR over 2025-27, expanding clients from new EV players to large traditional Chinese auto makers and global brands.
- Inovance targets >20% revenue from the overseas market in the mid-long term, up from the current ~6%.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rmb130.00

58x bull case 2026e EPS

Stronger macroeconomic recovery and AI encourages higher-than-expected penetration of automation products: Benefiting from robust demand, local manufacturers accelerate the adoption of automation products in their production lines. Inovance gains more market share than expected. Gross margin in NEV segment improves. Inovance becomes one of the key suppliers for foreign humanoid OEMs.

BASE CASE

Rmb95.00

42x base case 2026e EPS

Market share gains continue amid automation upcycle. Market share in AC drive, servo, PLC and 6-axis robots further increase in 2026-27, although the pace is slower than in 2021-23. Decent growth momentum in NEV business is supported by sustainable new orders from traditional auto OEMs and overseas, while profitability is under some pressure. Inovance to see humanoid robots revenue from 2026.

BEAR CASE

Rmb50.00

22x bear case 2026e EPS

Weak macro conditions and failure to develop new products: A weaker-than-expected macro environment discourages downstream automation demand, and Inovance's market share shrinks on failure to develop new products. G&A expenses increase at a faster rate, eroding profitability. Gross margins in the NEV segment deteriorate further with rising materials cost and slower-than-expected client penetration. Inovance humanoid products fail to win orders from key customers.

Risk Reward – Shenzhen Inovance Technology (300124.SZ)

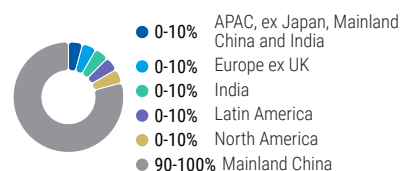
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Inverters segment revenue growth (%)	20.5	17.0	15.0	15.1
New Energy and Railway segment revenue growth (%)	25.5	31.0	14.8	11.1
Gross Margin (%)	29.0	28.7	29.2	29.9

INVESTMENT DRIVERS

- Acceleration in IA market share gain and overseas expansion
- Property recovery resulting in more demand for elevators/control products
- Large-scale delivery to NEV manufacturers and more new orders from traditional auto manufacturers

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected macroeconomy boosts demand for automation products.
- ePVs equipped with Inovance's EV control system see stronger-than-expected sales in 2026-27.

RISKS TO DOWNSIDE

- Failure to develop high-end automation products, with low-end products suffering declining ASP due to stiff competition.
- Larger-than-expected gross margin decline on raw materials price hike.

OWNERSHIP POSITIONING

Inst. Owners, % Active 95.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn) 49,199.6 55,475.3 61,153.0
54,467.8

EBITDA (Rmb, mn) 5,809.0 7,424.3 8,356

Net income (Rmb, mn) 5,707.0 6,077 6,334.2 7,156.0

EPS (Rmb) 2.1 2.3 2.4 2.8

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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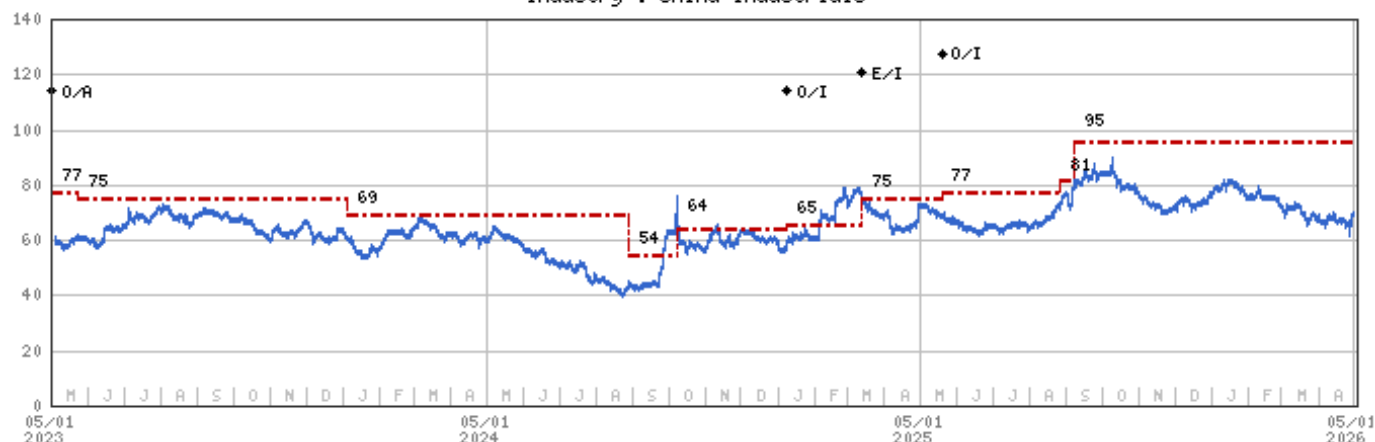
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Stock Price, Price Target and Rating History (See Rating Definitions)

Shenzhen Inovance Technology (300124.SZ) - As of 05/03/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 5/1/21 : E/I; 1/4/22 : O/I; 2/4/23 : O/A; 1/8/25 : O/I; 3/12/25 : E/I; 5/19/25 : O/I

Price Target History: 11/5/20 : 52.67; 6/24/21 : 60; 9/15/21 : 66; 1/4/22 : 90; 6/30/22 : 80; 9/23/22 : 72; 12/13/22 : 77; 5/23/23 : 75; 1/5/24 : 69; 8/28/24 : 54; 10/8/24 : 64; 1/8/25 : 65; 3/12/25 : 75; 5/19/25 : 77; 8/27/25 : 81; 9/8/25 : 95

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (04/30/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb5.08
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.79
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.91
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb100.72
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb17.52
iRay Technology Company Limited (688301.SS)	E (01/16/2025)	Rmb114.59
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb62.74
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb141.78
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb94.60
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$17.36
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb16.54
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.20
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb5.97
DR Laser (300776.SZ)	E (12/17/2021)	Rmb104.60
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb21.87
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$21.12
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb31.14
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb15.71
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb104.98
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb42.62
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb224.12
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb20.35
Shenzhen Inovance Technology (300124.SZ)	O (05/19/2025)	Rmb68.60
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb93.24
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$38.46
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb238.88
Times Electric (3898.HK)	E (01/22/2026)	HK\$35.84

WeiChai Power (2338.HK)	O (03/30/2026)	HK\$38.64
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb31.20
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb81.70
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb55.22
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb55.12
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb31.90
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb39.27
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.87
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.95

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.